

Copperstone Brewing Co.

Business Counselling Report

Executive Summary Presentation

December 2025 | Practice Analysis | Confidential

All company names are code names. This is practice work, not paid consulting.

The Business

Copperstone Brewing Co. is a 6-year-old craft brewery in the English Midlands. The founder left a career in mechanical engineering to brew full-time after 8 years of home brewing.

The beer is excellent. Multiple regional awards (SIBA Midlands Best Pale Ale 2024, GBBF Bronze 2023). Locally foraged hop varieties. Borehole water supply.

The problem is not the product. It is everything around it.

£1.31M

Revenue (FY 2025)

12

Employees

8.4%

EBITDA Margin

55.0%

Gross Margin

65%

Capacity Used

0.6%

Marketing Spend

Marketing spend is one-fifth of industry average (3-5%).

Three Problems

1. Brand Invisibility

PRIMARY PROBLEM

Zero brand recognition outside 15-mile radius. Single-page website. No social media. Inconsistent logo. Award wins generated zero press coverage.

The story exists. Nobody is telling it.

2. Distribution Dependency

70% of revenue from one location (taproom). Only 8 pub accounts. No online sales. No wholesale. No retail partnerships.

Feb 2025 road closure cost £18K (40% of monthly profit). A 20% taproom decline eliminates all profit.

One disruption from crisis.

3. Operational Ceiling

35% spare brewing capacity but no infrastructure to distribute it. Contract canning at £0.42/unit (should be £0.12). No cold chain. No delivery fleet.

Founder handles brewing, sales, finance, and ops alone. No sales or marketing role exists.

Growth is locked behind a capability gap.

Financial Snapshot

£1.31M

Total Revenue

+9.6% YoY

Revenue Growth

£721K (55%)

Gross Profit

£110K (8.4%)

EBITDA

Revenue by Channel (FY 2025)

Taproom: £917K (70.0%)

Pub Accounts: £262K (20.0%)

Events and Other: £131K (10.0%)

Online DTC: £0 (0.0%)

Wholesale: £0 (0.0%)

Cash Flow Vulnerability

Cash reserves: £62K

Outstanding debt: £180K (3 years remaining)

PBT: £47K (3.6% margin)

Marketing spend: £8K (0.6% of revenue)

Industry benchmark: 3-5%

A 20% taproom decline eliminates all profit and creates a cash crisis within 6-8 months.

Competitive Position

1,800+ independent breweries in the UK. Low entry barriers. High buyer power. The product is excellent, but product alone is not a moat.

Copperstone vs Regional Average

Revenue	£1.31M vs £1.45M	Below average
Gross Margin	55% vs 54%	Above average
EBITDA Margin	8.4% vs 10%	Below average
Marketing Spend	0.6% vs 3.5%	Critically low
Pub Accounts	8 vs 15	Half of average
Social Followers	0 vs 3,500	Zero presence
Online Sales	No vs 65% have one	Missing channel
Awards (3yr)	3 vs 1.5	Above average

Key Insight

Copperstone wins on product quality (3 awards in 3 years vs 1.5 average) but loses on everything commercial.

The brewery outperforms on what happens inside the brewhouse and underperforms on everything outside it.

The gap is not capability. It is investment. £8K annual marketing spend cannot compete in a market with 1,800 rivals.

Recommendation 1: Brand Construction

Packaging Redesign

The can is the billboard. In craft beer, packaging is the primary purchase driver ahead of price and style.

Proposed Visual Identity (subject to change)

Colour: Deep copper (#B87333) with charcoal and cream. Distinctive on shelf against blue/white/green competitors.

Logo: Clean geometric mark, stylised copper vessel in circular badge. Works at 15mm and 150mm.

Can: Full-wrap copper gradient. Each style gets a colour accent. Side panel micro-story (40-60 words). QR code to website.

Investment: £8,300 to £12,000

A professional brand identity for 5-10 years. Retailers report packaging quality is the number one factor in stocking decisions.

Social Media Storytelling

Instagram is where craft beer culture lives. #craftbeer has 35M+ posts. Copperstone has zero.

Content pillars

Process and Craft (40%): Brewing days, ingredients, fermentation

People and Community (30%): Taproom life, founder story, events

Product and Announcements (20%): New releases, awards, tastings

Behind the Business (10%): Honest posts about challenges

Target: 3,000 to 6,000 followers in 12 months

Investment: £3,440 to £6,380 (Year 1)

3 posts/week, daily stories. Lowest cost, highest potential reach.

Recommendation 2: Distribution Diversification

Online Direct-to-Consumer

Highest margin channel outside taproom

£2.10 net per can (vs £1.60 wholesale)

Direct customer data (email, postcode, preferences)

National reach. Geography ceases to be a constraint.

Subscription potential: 80-120 subscribers by Month 18

Drawbacks

Shipping costs (£4.50-6.80/box), cold chain complexity, 2-4% breakage, customer acquisition cost £8-15 per customer.

Base Case: £72K annual revenue by Year 3

25-35 orders/week, 14-18 month payback

Wholesale to Independent Retailers

Volume driver and credibility builder

80-120 independent bottle shops within 60-90 miles

Discovery environment: browsers find product by chance

Predictable reorders create stable revenue baseline

Scalable: each new account adds £920-1,840/yr

Drawbacks

24% lower margin than DTC. Sales resource needed. 30-day payment terms. Account management burden. Minimum 3-4 core range products required.

Base Case: £123K annual revenue by Year 3

28-40 accounts, 18-24 month payback

Action Plan

Year 1: Foundation

1. Hire part-time commercial role (£28K)
2. Commission packaging redesign
3. Launch social media (3 posts/week)
4. Build e-commerce website
5. Online shop goes live (Q4 2026)
6. Begin wholesale outreach
7. Install canning line (£35-45K)

Targets

New channel revenue: £70K
Taproom dependency: 65%
15-22 wholesale accounts

Year 3: Growth

Total Revenue: £1.5-1.6M
New Channel Revenue: £170-220K
Taproom as % Revenue: 55-60%
Wholesale Accounts: 28-40
Online Subscribers: 80-120
Brewing Volume: 1,500-1,650 hl
EBITDA: £140-165K (+30-55K)
Marketing Spend: 3.0-3.5%
Social Following: 5,000-8,000

Year 5: Vision

Total Revenue: £1.8-2.1M
New Channels: £350-500K
Taproom: 48-52% of revenue
Wholesale Accounts: 45-70
Online DTC: £120-180K
EBITDA: £180-240K
EBITDA Margin: 10-12%
Employees: 15-18
Capacity: 85-95%
Regional brand recognition

KPIs and Governance

Financial KPIs

- Monthly Revenue: £115K target (Yr 1)
- New Channel Rev: £6K/mo (Yr 1), £16K (Yr 3)
- Gross Margin: maintain 54-55%
- EBITDA: £9K/mo (Yr 1), £12.5K (Yr 3)
- Cash Position: maintain >£25K

Operational KPIs

- DTC Orders: 12/week (Yr 1), 30 (Yr 3)
- Wholesale Accounts: 18 (Yr 1), 35 (Yr 3)
- Capacity Utilisation: 70% (Yr 1), 85% (Yr 3)
- Canning Cost: reduce to £0.12/unit
- Fulfilment: within 48 hours

Brand KPIs

- Instagram: 3,500 (Yr 1), 6,000 (Yr 3)
- Website Visitors: 1,500/mo (Yr 1)
- Email List: 600 (Yr 1), 2,000 (Yr 3)
- Inbound Enquiries: 8/mo (Yr 1)
- Engagement Rate: 3-5%

Governance Cadence

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|------------------|---|
| Weekly | Founder + commercial hire: orders, social content, wholesale pipeline |
| Monthly | Founder + bookkeeper: financial review, cash flow, channel P&L |
| Quarterly | Founder + commercial hire + advisor: strategy review, target tracking |
| Annually | Founder + accountant + advisor: full year review, next year plan |

Conclusion

Mandate 1: Build the Brand

Redesign packaging to match product quality. Tell the story through social media and a functional website. Investment: £15K to £23K (Year 1).

The most cost-effective growth lever available.

Mandate 2: Diversify Distribution

Launch online DTC and build wholesale accounts with independent retailers. Reduce taproom dependency from 70% to under 50%. Investment: £40K to £65K (over 18 months).

The structural fix for single-channel vulnerability.

£170-280K

Year 3 New Revenue (Base)

+£30-55K/yr

EBITDA Improvement

£45-75K

Total Investment

12-24 months

Payback

These are conservative estimates. If the brand resonates as strongly as the product quality suggests it should, the upside is larger. But credibility matters more than excitement.

Copperstone does not need a miracle. It needs a voice.